

Central Bank Chairman's Handbook

Fortun.ai Economy System

Valaria Economic Authority

2026

Overview

The Central Bank (CB) is the monetary authority of your server's economy. It is **entirely separate from the Treasury** — the Treasury funds government operations and departments, while the CB controls the money supply, manages foreign reserves, and holds sovereign bonds.

Access: Only the server owner and users explicitly authorized via `/centralbank authorize add` can run CB commands. All CB command results are **public** — every member can see them.

1. Authorization

Managing CB Access

Command	Description
<code>/centralbank authorize add user:@user</code>	Grant a user full CB access (owner only)
<code>/centralbank authorize remove user:@user</code>	Revoke CB access (owner only)

CB authorization is **completely separate** from Treasury authorization. You can give different people control of each institution. Discord Administrators and the server owner always retain CB access regardless.

2. Balance & Reporting

The CB holds its own balance (`cbBalance`) which is separate from the Treasury's **balance**. Money printed by the CB enters `cbBalance` — it does not go directly into circulation until deployed.

Command	Description
<code>/centralbank balance</code>	View the CB's current internal balance
<code>/centralbank money-supply</code>	Full breakdown: wallets, banks, businesses, departments, treasury, CB
<code>/centralbank report</code>	Macro dashboard: total supply, strength score, reserves, total ever printed

3. Printing Money

`/centralbank print amount: memo:`

Creates new money and credits it to the CB balance. The money **does not enter circulation immediately** — it sits in the CB until you deploy it via `/centralbank transfer`.

- The reply shows the expansion percentage relative to total circulation.

- Printed money's effect on the exchange rate only materialises once it circulates (enters wallets, businesses, treasury, etc.).
- Use `memo:` to document the reason (e.g., "*Stimulus package Q2*").

When to print: Stimulus injections, funding sovereign expenditure, purchasing foreign reserves as a monetary policy tool.

When not to print: If your currency is already under attack (high `C_n` from foreign reserve accumulation), printing will worsen the exchange rate.

4. Destroying Money

`/centralbank destroy amount: memo:`

Permanently removes money from the CB balance **and** from total circulation (`C_n`). This is the **primary tool for strengthening your currency**.

Important: The CB can only destroy money it holds. To destroy more than your current `cbBalance`, first fund the CB via `/centralbank transfer Treasury → CB` (see Section 5).

When to destroy: When your currency is weakening — especially if foreign servers are accumulating your currency as reserves, inflating your `C_n`.

5. Transferring Funds (CB and Treasury)

`/centralbank transfer direction: amount: memo:`

Moves funds between the CB and Treasury. Two directions:

- **Central Bank → Treasury:** Deploy CB funds into government operations (e.g., after printing stimulus money that needs to reach departments/citizens).
 - **Treasury → Central Bank:** Fund the CB so it can destroy money or purchase foreign reserves without needing to print first.
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6. Foreign Reserves & Liquidity Pools

Cross-server money flows are mediated by **nostro/vostro liquidity pools** — one pool per server pair. Each pool holds both servers' currencies and acts as a buffer for exchanges and bond purchases. Because money moves within the same server's `C_n` domain, the strength formula is not distorted by transfers.

Commands

Command	Description
<code>/centralbank reserves view</code>	View all liquidity pools and active CB bond holdings (mark-to-market)
<code>/forex pool deposit target-server: amount:</code>	Deposit domestic CB funds into the pool with another server
<code>/forex pool withdraw target-server: amount:</code>	Withdraw your side of the pool back to CB
<code>/forex pool view</code>	See all pools and their current balances

How the Pool Works

Seeding: Your CB runs `/forex pool deposit target-server:B amount:X`. X moves from your `cbBalance` into the pool's A-side. Since pool balances are included in `C_n`, your `C_n` is unchanged.

Exchange: A user running `/forex exchange amount:X target-server:B` causes: - X A\$ moves from their account → pool A-side (`C_n` of A unchanged) - Equivalent B\$ moves from pool B-side → their B-server account (`C_n` of B unchanged)

If the pool is empty: Exchanges and bond purchases fail until a CB refills it.

Currency Attack Strategy

1. Accumulate CB funds (print, or receive incoming bond proceeds).
2. Ensure a pool exists with the target (`/forex pool deposit`).
3. `/centralbank bonds buy` — purchase bonds from the target server.
4. Bond proceeds flow into the target's treasury via the pool (pool-settled, `C_n` neutral).
5. At maturity you receive face value (with yield) back through the pool.
6. Holding many bonds drains the target's pool liquidity — making it harder for others to exchange into their currency — while earning you yield.

Currency Defence Strategy

Currency strength ($S = \text{activity} / C_n$) is driven by real economic activity, not transfer mechanics. To strengthen:

1. Tax citizens → funds go to Treasury.
2. `/centralbank transfer Treasury → CB`.
3. `/centralbank destroy → C_n drops → currency strengthens`.

Maintaining pool liquidity is optional but enables trade. Refusing to seed a pool with another server is a form of economic isolation.

7. Sovereign Bonds (CB as Buyer)

The CB can purchase bonds issued by other servers' Treasuries. CB bond holdings are **reserve assets** — settled via the liquidity pool, earning a **yield** (you receive more than you paid at maturity).

Command	Description
<code>/centralbank bonds buy bond-id:</code>	Purchase an available bond using CB funds (pool must exist)
<code>/centralbank bonds transfer bond-id: to-guild:</code>	Transfer a CB-held bond to another server's CB (free)
<code>/centralbank bonds holdings</code>	View all bonds this CB holds, maturity dates, and face values

How CB Bond Purchases Work

When your CB buys a bond from Server B:

1. A **liquidity pool** for the A-B pair must exist — seed it first with `/forex pool deposit`.
2. Your `cbBalance` decreases by `costInHome` — the purchase price **converted to your currency** at the live FOREX rate.
3. `costInHome` enters the pool's A-side; `purchasePrice` exits the pool's B-side → Server B's treasury immediately.
4. **Neither server's `C_n` changes** — the settlement is pool-mediated.
5. At maturity, Server B pays back the **face value, converted to your currency** at the then-current rate.

Bond Strategy

Approach	Effect
Offensive	Buy bonds of a target → drains their pool liquidity (limits others' access to their currency) AND earns yield
Cooperative	Buy bonds of an ally → funds their economy + aligns incentives (you want them stable so they can repay)
Diplomatic	Use <code>/centralbank bonds transfer</code> to hand a bond to another CB — useful for alliances or debt restructuring
Risk	If the issuer defaults, you lose the face value premium. If the pool runs dry, bond purchases block.

8. FOREX Mechanics

The Strength Formula

$$S = \frac{\alpha(M + V) + \beta E}{C_n}$$

Variable	Meaning	Weight
M	Messages sent in the last 30 days	$\alpha = 1.0$
V	Voice chat minutes in the last 30 days	$\alpha = 1.0$
E	Transactions in the last 30 days	$\beta = 2.0$
C_n	Total money in circulation	—

What counts in C_n : All personal wallet and bank balances, all business accounts, all department balances, the Treasury balance, the CB balance, and any units of your currency sitting in cross-server liquidity pools.

Exchange Rate

$$\text{received} = \text{amount} \times \frac{S_{\text{home}}}{S_{\text{target}}}$$

- A higher S means a stronger currency.
- `/forex rate target-server:` — view the live rate between two servers.
- `/forex strength` — view your server's current metrics.
- `/forex exchange amount: target-server:` — execute a conversion.

Cold-Start Behaviour

New servers with no recorded activity get estimated metrics based on their registered member count (5 messages/member/month, 1 transaction/member/month). This prevents new servers from having zero strength immediately.

9. Key Principles

1. **The CB balance is not in circulation until deployed.** Printing money only creates inflation potential — deploying it causes actual inflation.
2. **C_n is your primary lever.** Everything that affects exchange rates goes through the circulation figure. Control C_n to control your rate.
3. **Bonds are a dual-use weapon.** Buying another server's bonds drains their pool's liquidity (restricting cross-server currency access) while earning you yield at maturity. Pool management and bond strategy are intertwined.
4. **Bonds earn yield but carry risk.** A defaulted bond loses the face-value premium. Only buy bonds from servers you believe are economically stable or ones you can afford to pressure.
5. **Destroy, don't just hold.** Accumulating CB balance without destroying it does not strengthen your currency. The money must be permanently removed from C_n .

10. Quick Reference

Goal	Action
See current CB balance	<code>/centralbank balance</code>
See full money supply breakdown	<code>/centralbank money-supply</code>
Create new money	<code>/centralbank print amount: memo:</code>
Remove money from circulation	<code>/centralbank destroy amount: memo:</code>
Move money CB → Treasury	<code>/centralbank transfer</code> <code>direction:CB→Treasury amount:</code>
Move money Treasury → CB	<code>/centralbank transfer</code> <code>direction:Treasury→CB amount:</code>
View reserves, pools & bond holdings	<code>/centralbank reserves view</code>
Buy a sovereign bond	<code>/centralbank bonds buy bond-id:</code>
Transfer CB bond to another CB	<code>/centralbank bonds transfer bond-id:</code> <code>to-guild:</code>
View CB bond holdings	<code>/centralbank bonds holdings</code>
Deposit into liquidity pool	<code>/forex pool deposit target-server:</code> <code>amount:</code>
Withdraw from liquidity pool	<code>/forex pool withdraw target-server:</code> <code>amount:</code>
View pool balances	<code>/forex pool view</code>
View exchange rates	<code>/forex rate target-server:</code>
View strength metrics	<code>/forex strength</code>
Execute currency exchange	<code>/forex exchange amount: target-server:</code>
Grant CB access	<code>/centralbank authorize add user:@user</code>
Revoke CB access	<code>/centralbank authorize remove user:@user</code>

This document is intended for the Central Bank Chairman and authorized personnel only.